

“With these two plants for camera and display modules, we will leapfrog to 25% value addition in mobile phones in a very short period. Countries like Vietnam took years to reach this level. In other categories like appliances, we have already reached of 75-80%,” says Vachani.

Dixon’s JV with HKC will raise the backward integration in smartphones by 10-12% from 16-17% now, domestic brokerage Emkay said in a recent note. It believes this could clear the decks for Dixon’s other big JV with Vivo to manufacture the bulk of the latter’s smartphones.

Dixon is readying itself for a future beyond the current smartphone PLI Scheme, which expires on March 31. “Given the near-term pressure from PLI Scheme expiry in March, the display module ramp-up will aid margin expansion,” says Emkay.

As it looks to ramp up production, Dixon is expecting tailwinds from the thaw in the relationship between India and China. Vachani says some technologies that the company is looking to acquire are only available in China. For instance, most handsets priced under ₹15,000 use LCD displays. “South Korea and Taiwan have exited this segment. That means if anybody wants displays for mid-level phones, he will have to tie up with Chinese companies,” says Vachani. That makes it imperative for India to localise fast.

The contract manufacturer plans to make displays not just for smartphones and laptops but also for the automotive sector. “In displays, we will be starting with automotive, laptop and mobile displays. Very soon, in a year-and-a-half, we will get into television displays.”

The idea is to cover the entire spectrum. In laptop displays, Dixon plans to have a capacity of 1.5 million pieces a year. In mobile, at least 30 million pieces a year. In TV, it is looking at a capacity of 3.5-4 million pieces a year.

The automotive industry has

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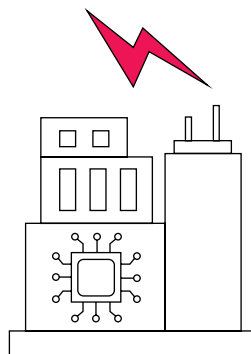
01 **Dixon’s JV for camera modules has been approved under the Electronics Component Manufacturing Scheme**

02 **Its 74:26 JV with China’s HKC to make displays got the green light in March, to be operational in Q1FY27**

03 **Dixon remains confident of getting approval for its JV with Vivo soon**

04 **It has partnered with Taiwan’s Inventec to make laptop and PC components**

05 **It has also signed a JV with Philips’ Signify for manufacturing lighting products**



evinced the most interest for displays, and it wants the supply chain nearby the facilities.

“We are engaged with almost all the big brands. But the process of approval in automotive is much longer than in mobile. Once this plant is operational by April or May, we are hopeful of getting approvals from major two-wheeler and car manufacturers,” says Vachani.

After making smartphones for the likes of Xiaomi and Google Pixel, Dixon has partnered with Taiwan’s Inventec to make laptop and PC components. “If you look at the market size and opportunity, the largest piece is mobile at about \$40 billion. The second-largest is IT hardware at about \$18 billion. This is the market we need to target,” says Vachani.

The contract manufacturer is looking to enter other appliance categories, too, including air purifiers, dishwashers, and robotic vacuum cleaners.

Dixon is looking to ride on other recent policies of the government. Foremost among them is the trade deals the country is looking to sign.

The company believes it stands a chance of increasing the contribution of exports to its revenue from 8% at present. “The US imports lighting products worth \$17 billion a year, telecom products worth \$70 billion, mobile phones worth \$80 billion. It is a very large market,” says Vachani. With those deals, Dixon believes exports could account for 25-30% of its revenue.

Despite the rapid expansion, the fear of complacency keeps the Dixon chairman awake at night. “We have seen so many companies getting disrupted because they get complacent. That worries me,” he says.

It is thanks to that constant endeavour to succeed that Vachani has been chosen the winner in the FMCG and Consumer Durables category of the BT-PwC Best CEOs list this year. **BT**

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